

**Neckline and breakout direction.** The neckline joins the lows of the lowest valleys and is interpreted the same way as a normal head-and-shoulders top. Once price closes below the neckline, a downward breakout occurs and price moves lower. Volume typically rises on a breakout day and can remain high for several days, depending on the severity of the situation.

The breakout is always downward. Until price breaks out downward, you don't have a valid complex head-and-shoulders top.

**Confirmation.** The pattern confirms as a valid chart pattern when price closes below the neckline or right armpit. Until confirmation, the pattern is just squiggles on the chart.

## Focus on Failures

Complex tops suffer two types of failures. [Figure 42.4](#) shows the first type. I define a downward breakout as a close below the neckline, or in the case of steep necklines, a close below the lowest shoulder trough (armpit) to the right of the head(s). The figure shows price declining below the neckline only once on 8 May but closing above it. From that point, price rises and moves above the highest head and an upward breakout occurs.

The pattern is well formed. It has two heads at about the same level and two shoulders also near the same price level. Symmetry throughout the pattern looks good, too, because the shoulders are equidistant from the head. Volume appears heavier on the left shoulder than on the right, as you would expect. Only during the decline from the right head to the right shoulder does volume rise. In short, there is no real indication that price will fail to continue moving down.

Although this pattern has all the ingredients of a complex top, it's not a valid complex head-and-shoulders top chart pattern (because it fails to confirm).

[Figure 42.5](#) shows a slightly different situation. The stock suffers a 1-day drop of \$2 at the breakout but then rises in an ascending broadening wedge pattern. The wedge is a bearish pattern that breaks out downward, but it, too, fails to see price descend far. Within a few months, the stock is again making new highs.